



Sampath Bank
WE PRESENT YOUR FUTURE

SAMPATH BANK PLC

**Interim Financial Statements
for the year ended 31st December 2023
(In terms of Rule 7.4 of the Colombo Stock Exchange)**

FINANCIAL COMMENTARY FOR THE YEAR ENDED 31ST DECEMBER 2023.

Backed by its strong capital base, Sampath Bank continues to navigate adeptly through challenging times. The Bank demonstrated resilience and a commitment to prioritizing stakeholder interests in the face of challenging economic headwinds, thanks to its well-executed business strategies, increased vigilance, and proactive risk management measures.

Despite the country showing signs of a broader economic upturn in 2023, Sampath Bank remained steadfast in supporting customers who continued to experience stress due to pressures accumulated over the past few years. Spearheaded by its Credit Nursing Unit, the Bank offered a variety of relief measures, including tailor-made repayment plans, restructures, and rescheduling solutions, to provide much-needed breathing space for distressed customers. This enabled them to focus on revitalizing their businesses. Additionally, the Bank provided financial counseling and business advisory services to empower customers to access fresh equity, seed capital, and other resources to transform their business models. This initiative was aimed at creating stronger and more resilient businesses capable of thriving in an increasingly uncertain world.

Notwithstanding challenges in the external operating environment, the Bank engaged in its CSR commitments with renewed vigour to initiate various projects under its flagship "Weweta Jeewayak" program contributing to rural economy growth. In addition, the Bank gave enhanced focus to contribute to the country's climate action goals by increasing investments in the "A Breath to Ocean" initiative aimed at restoring the oceanic ecosystems, particularly in turtle conservation, coral restoration and mangrove rehabilitation.

Regardless of continuing uncertainties and challenging economic conditions throughout the year, profitability remained in line with expectations as the Bank's Profit Before Taxes on financial services stood at Rs 38.4 Bn which is a 89.9% increase over the previous year's achievement of Rs 20.2 Bn. However, considering the impact of higher tax expenses, the Profit After Tax (PAT) demonstrated a reduced improvement of 30.5%, rising from Rs 13.1 Bn in the previous year to Rs 17.1 Bn for the year ended 31st December 2023.

The Group remained resilient with a profit after tax of Rs 17.9 Bn for the year under review, reflecting a 27.5% growth over the previous year.

Net Interest Income (NII)

The Net Interest Income (NII) for the year amounted to Rs 72.3 Bn, indicating a marginal 1.6% decline year on year, primarily due to the increase in interest expenses for FY 2023 surpassing the increase in interest income. Interest income increased by Rs 45.8 Bn in the year under review, marking a 29.1% improvement compared to the previous financial year, while interest expenses surged by 55.9% year on year reaching Rs 131.2 Bn. Despite this significant disparity, timely re-pricing strategies, coupled with stringent management of both asset and liability portfolios amidst the backdrop of the declining AWPLR, helped contain the impact on the Bank's NII, ensuring only a marginal drop. The Net Interest Margin (NIM) for the year was 5.16%, compared to 5.66% reported in the previous year.

Net Fee and Commission Income

Net fee and commission income decreased by 2.9% compared to the previous year due to lower income from credit and trade related activities. Fees earned from credit declined due to lower demand

from the market, while the contraction in trade-related income is attributed to the combined impact of the downward revision of commission rates applied to import-related transactions as well as the appreciation of LKR against the USD. Meanwhile, fees generated through cards, electronic channels and remittance related activities recorded strong growth compared to the previous year. It should be noted, however, that despite recording a decline in 2023, fees from trade-related activities remained the largest contributor to net fee and commission income, followed by cards.

Net Trading and Other Income

The Bank registered capital gains of Rs 591.7 Mn in the year under review, reflecting a 9.2% increase over the previous year from the sale of Treasury bills and Treasury bonds. The Bank reported a Net Other Operating Loss of Rs 1.6 Bn in 2023, contrasting with a gain of Rs 19.7 Bn reported in 2022. This change was mainly attributed to the Rs 2.4 Bn exchange loss resulting from the appreciation of the LKR against the USD by 11% (2022: depreciated by 82%). This was, however, offset to some extent by the net trading gain of Rs 0.8 Bn for 2023.

Impairment Charge

The Bank continued with its prudent provisioning policy and posted a total impairment charge of Rs 20.1 Bn for the current financial year. Impairment charges for the current year include Rs 18.1 Bn related to loans and advances (2022: Rs 54.3 Bn) and Rs 1.8 Bn attributed to other financial instruments (2022: Rs 7.8 Bn). Furthermore, there is an additional impairment charge of Rs 0.2 Bn related to commitments and contingencies, compared to Rs 0.6 Bn in 2022.

Impairment charge on loans and advances

Despite the decrease in the impairment charge on loans and advances by Rs 36.3 Bn compared to 2022, the total provision cover of the Bank increased by 200 basis points, rising from 11.8% as at the end of 2022 to 13.8% as at the end of 2023.

The overall reduction in impairment charges against loans and advances was attributed, on one hand, to the gradual revival in economic activities, and on the other hand, to Sampath Bank's prudent provisioning approaches in 2022. These approaches led to the build-up of additional provision coverage for risk-elevated segments in the loans and advances portfolio.

Rs 16.3 Bn was charged on account of Individually Significant Customers (ISL) following an extensive evaluation covering more than 60% of the total advance portfolio. The proactive approach adopted by the Bank in the previous financial year to make appropriate provisions for customers with potential risks has resulted in the establishment of a substantial provision cover against Individually Significant Customers (ISL) in 2022. This has resulted in lower additional provisioning being required during the reporting period.

The collective impairment charge decreased by Rs 19.9 Bn to Rs 1.8 Bn in 2023 compared to previous year. In addition to the revival in the economy and the Bank's prudent provisioning policy in the previous year, the 8% reduction in the quantum of exposure subjected to collective impairment also contributed to the lower collective impairment charge in 2023. The impairment models used for collective impairment in 2022 were continued in 2023 to ensure that adequate buffers were in place to absorb any potential credit risk that could arise in the future. The Bank continued its prudent policy of booking additional provisions against newly identified customer segments with elevated credit risk during the reporting period. The allowance for overlay applied in 2022 was continued and maintained

for the current reporting period as well. Meanwhile, in testament to the Bank's timely and effective provisioning strategy, the cost of risk decreased from 5.97% in FY 2022 to about 2.04% in FY 2023.

Impairment charge on other financial instruments

The Bank recorded a net impairment charge of Rs 1.8 Bn against other financial instruments during the reporting year, compared to Rs 7.8 Bn reported in the previous year. The reduction in the impairment charge on financial instruments reflects the Bank's decision to exchange its holdings in Sri Lanka Development Bonds (SLDBs) for local currency-denominated bonds offered as part of the Domestic Debt Optimization Program (DDO) in 2023. This allowed the Bank to reverse the impairment provision already recognised against the SLDBs by Rs 4.8 Bn. However, Rs 1.2 Bn was recognised as a day-one loss against the local currency bonds at the time of conversion of SLDBs under the DDO programme, equivalent to 5% of the bond value. At the same time, the Bank increased the impairment provision against its Sri Lanka International Sovereign Bonds (SLISB) investments by Rs 5.5 Bn to account for a possible haircut in 2024.

Operating Expenses

Operating Expenses witnessed a year-on-year increase of 15.7%, primarily driven by elevated overhead costs stemming from inflation-induced price hikes, the effect of LKR depreciation in 2022, and additional price adjustments influenced by higher taxes and import restrictions. Personnel costs grew by 14.0% in 2023 owing to the annual salary increase. Due to elevated operating costs and a decline in operating income, primarily attributed to LKR appreciation, the Bank's cost-to-income ratio, which stood at 25.3% in FY 2022, increased to 35.7% in FY 2023. Nevertheless, it remained well below the industry average of 40.5% for the year.

Taxation

Tax expenses on financial services saw an increase of Rs 3.4 Bn, rising from Rs 5.2 Bn in FY 2022 to Rs 8.6 Bn in FY 2023. This growth is attributed to the combined impact of the overall expansion in the tax base and the application of SSCL for the entire year. Income tax too witnessed a substantial increase of 567.7% from Rs 1.9 Bn in FY 2022 to Rs 12.6 Bn in FY 2023. This surge is attributed to the expanded tax base and the application of a higher tax rate of 30%, introduced in the second half of 2022, throughout the year 2023. Additionally, in 2022, the Bank recognized a deferred tax credit of Rs 1.8 Bn, stemming from the increase in deferred tax assets due to a one-off adjustment associated with the income tax rate hike from 24% to 30%.

Total Comprehensive Income

The total Comprehensive Income for the year amounted to Rs 25.6 Bn, indicating an increase of 69.2% compared to the previous year's achievement of Rs 15.1 Bn.

Assets

The Bank's asset base experienced a year-on-year increase of 16.4%, propelled by higher investments in Government debt securities. The composition of the asset book shifted in the current financial year due to the Bank's strategic decision to adopt a cautious lending approach, coupled with subdued demand amid weaker economic conditions, both locally and globally. As a result, the gross loan portfolio as of the end of 2023 decreased by Rs 42.8 Bn to Rs 877.3 Bn. In the context of LKR appreciation against the USD, foreign currency-denominated loans declined by 18.2% compared to the previous year. The Stage 3 loan portfolio increased by Rs 42.8 Bn during the year, primarily due to customers enduring prolonged macro-economic pressure shifting to adverse stages. However, this trend moderated to some extent in the latter part of the year. Funds mobilized through deposits were directed towards short-term

financial instruments, leading to an increase of Rs 195.9 Bn in T-bill investments. Moreover, investments in T-bonds also grew as the Bank exercised the conversion option under the DDO, converting SLDBs worth USD 113 Mn (face value) into LKR-denominated instruments during the year. Boosted by elevated Nostro balances, cash and cash equivalents reached Rs 79.3 Bn in 2023, maintaining parity with the previous year-end. Meanwhile, placements with banks grew by Rs 22.8 Bn during the year. The Bank initiated the accumulation of Nostro and placement balances in the latter part of 2022 as a precautionary measure to mitigate potential deterioration in the Net Open Position (NOP) following the conversion of SLDBs into LKR bonds. Despite the rise in the total deposit base, balances with the Central Bank of Sri Lanka decreased by Rs 17.1 Bn following the downward revision in the SRR rate from 4% to 2%. During the year under review, Sampath Bank also ventured into its first-ever investment in US Treasury instruments by allocating USD 76 Mn.

Liabilities

Overall liabilities witnessed a year-on-year increase of 16.4%, primarily driven by the growth in the Bank's deposit base, which expanded from Rs 1,103.2 Bn in FY 2022 to Rs 1,264.5 Bn as of end-2023. The Bank's CASA ratio demonstrated an improvement, rising from 32.7% in FY 2022 to 33.4% in the year under review, affirming the success of initiatives to attract low-cost deposits.

The increase in total borrowings from Rs 40.9 Bn to Rs 68.8 Bn, also played a role in the overall increase in liabilities for the year under review. In February 2023, the Bank successfully issued Rs 10 Bn worth of BASEL III compliant listed rated unsecured subordinated redeemable debentures, further enhancing its Tier II capital. The debenture issue was oversubscribed on the very first day, underscoring the strong investor confidence in Sampath Bank. Rs 7.5 Bn worth of debentures were redeemed in March 2023.

Equity

Sampath Bank's total equity strengthened, increasing by Rs 21.5 Bn during the year to reach Rs 147.9 Bn as at 31st December 2023, mainly due to improved profitability recorded in 2023.

Dividend

The Board of Directors of Sampath Bank PLC recommended a final cash dividend of Rs 5.85 per share for the financial year ended 31st December 2023 subject to the approval of the shareholders at the 38th Annual General Meeting to be held on 28th March 2024. The Dividend payout ratio for the year ended 31st December 2023 stood at 40.02% (2022: 40.08%).

Capital and Liquidity

The Bank concluded the current financial year with all capital ratios showing improvements compared to the previous financial year. As at 31st December 2023, Sampath Bank's CET 1, Tier 1 and total capital ratios stood at 16.35%, 16.35% and 19.56% respectively compared to 11.92%, 11.92% and 14.27% respectively at the end of 2022. These increases can be attributed to three main factors: enhanced profitability, the Tier II capital infusion of Rs 10 Bn in February 2023 and a reduction in risk-weighted assets stemming from the decrease in the loan book.

It is noteworthy to mention that all three Capital Adequacy Ratios consistently remained comfortably above the regulatory minimum requirements throughout the current financial year. Similarly, with a liquidity ratio at 47.76% as at 31st December 2023, the Bank exceeded the regulatory minimum requirement of 20%.

Other Key Ratios

The Return on Average Shareholders' Equity (after tax) improved to 12.65% as at 31st December 2023 compared to 10.95% reported at the end of the year 2022. Return on Average Assets (before tax) stood at 2.12% as at 31st December 2023 as against 1.16% reported for 2022.

External Rating

On 5th October 2023, Fitch Ratings Lanka Limited affirmed Sampath Bank's National Long-Term Rating at A(lka), removed the Rating Watch Negative (RWN) outlook and assigned a Stable outlook. Fitch also affirmed the BBB+(lka) rating for the Bank's Basel III compliant subordinated debentures.

STATEMENT OF PROFIT OR LOSS

	Bank						Group					
	For the year ended 31st December			For the quarter ended 31st December			For the year ended 31st December			For the quarter ended 31st December		
	2023 (Audited) Rs 000	2022 (Audited) Rs 000	Change %	2023 Rs 000	2022 Rs 000	Change %	2023 (Audited) Rs 000	2022 (Audited) Rs 000	Change %	2023 Rs 000	2022 Rs 000	Change %
Gross income	226,154,096	197,570,518	14.5	55,655,797	60,972,550	(8.7)	236,504,470	206,002,254	14.8	58,415,535	63,257,212	(7.7)
Interest income	203,447,113	157,619,458	29.1	50,092,347	51,568,086	(2.9)	212,458,617	164,775,651	28.9	52,469,890	53,572,309	(2.1)
Less: Interest expense	131,157,456	84,117,088	55.9	30,887,279	31,324,948	(1.4)	137,015,683	88,733,558	54.4	32,265,224	32,830,912	(1.7)
Net interest income	72,289,657	73,502,370	(1.6)	19,205,068	20,243,138	(5.1)	75,442,934	76,042,093	(0.8)	20,204,666	20,741,397	(2.6)
Fee & commission income	22,909,822	21,940,763	4.4	5,588,137	6,836,460	(18.3)	23,544,833	22,685,656	3.8	5,700,725	6,980,769	(18.3)
Less: Fee & commission expense	4,023,353	2,499,396	61.0	1,319,969	689,184	91.5	4,025,896	2,500,860	61.0	1,320,647	689,122	91.6
Net fee & commission income	18,886,469	19,441,367	(2.9)	4,268,168	6,147,276	(30.6)	19,518,937	20,184,796	(3.3)	4,380,078	6,291,647	(30.4)
Net gain/(loss) from trading	761,786	(2,248,355)	133.9	(927,448)	767,880	(220.8)	708,976	(2,266,306)	131.3	(940,119)	749,929	(225.4)
Net gain/(loss) on derecognition of financial assets												
- at fair value through profit or loss	309,604	555,306	(44.2)	28,728	106,627	(73.1)	317,316	572,697	(44.6)	28,728	124,018	(76.8)
- at fair value through other comprehensive income	282,107	(13,481)	2,192.6	123,410	2,788	4,326.5	282,107	(13,481)	2,192.6	123,410	2,788	4,326.5
Net other operating income	(1,556,336)	19,716,827	(107.9)	750,623	1,690,709	(55.6)	(807,379)	20,248,037	(104.0)	1,032,901	1,827,399	(43.5)
Total operating income	90,973,287	110,954,034	(18.0)	23,448,549	28,958,418	(19.0)	95,462,891	114,767,836	(16.8)	24,829,664	29,737,178	(16.5)
Less: Impairment charge	20,148,542	62,706,010	(67.9)	5,708,340	13,898,430	(58.9)	20,209,602	62,908,121	(67.9)	5,711,094	13,717,725	(58.4)
Net operating income	70,824,745	48,248,024	46.8	17,740,209	15,059,988	17.8	75,253,289	51,859,715	45.1	19,118,570	16,019,453	19.3
Less: Operating expenses												
Personnel expenses	14,249,843	12,496,048	14.0	3,372,247	2,962,806	13.8	15,826,114	13,878,531	14.0	3,808,039	3,315,758	14.8
Depreciation and amortisation expenses	2,644,499	2,544,968	3.9	677,732	746,285	(9.2)	2,554,373	2,396,761	6.6	669,712	644,375	3.9
Other expenses	15,562,653	13,006,891	19.6	4,078,038	3,861,134	5.6	16,585,848	13,613,025	21.8	4,247,376	3,996,116	6.3
Total operating expenses	32,456,995	28,047,907	15.7	8,128,017	7,570,225	7.4	34,966,335	29,888,317	17.0	8,725,127	7,956,249	9.7
Operating profit before taxes on financial services	38,367,750	20,200,117	89.9	9,612,192	7,489,763	28.3	40,286,954	21,971,398	83.4	10,393,443	8,063,204	28.9
Less: Taxes on financial services												
Value added tax	7,519,371	4,953,917	51.8	1,607,222	1,558,342	3.1	7,938,879	5,340,457	48.7	1,748,936	1,639,077	6.7
Social security contribution levy	1,087,971	222,054	390.0	266,839	222,054	20.2	1,146,552	236,322	385.2	286,838	236,322	21.4
Total taxes on financial services	8,607,342	5,175,971	66.3	1,874,061	1,780,396	5.3	9,085,431	5,576,779	62.9	2,035,774	1,875,399	8.6
Profit before income tax	29,760,408	15,024,146	98.1	7,738,131	5,709,367	35.5	31,201,523	16,394,619	90.3	8,357,669	6,187,805	35.1
Less: Income tax expense	12,620,329	1,889,994	567.7	2,947,746	(224,392)	1,413.7	13,277,241	2,334,109	468.8	3,163,524	(187,135)	1,790.5
Profit for the period	17,140,079	13,134,152	30.5	4,790,385	5,933,759	(19.3)	17,924,282	14,060,510	27.5	5,194,145	6,374,940	(18.5)
Attributable to:												
Equity holders of the Bank	17,140,079	13,134,152	30.5	4,790,385	5,933,759	(19.3)	17,924,282	14,060,510	27.5	5,194,145	6,374,940	(18.5)
Non-controlling interest	-	-	-	-	-	-	-	-	-	-	-	-
	17,140,079	13,134,152	30.5	4,790,385	5,933,759	(19.3)	17,924,282	14,060,510	27.5	5,194,145	6,374,940	(18.5)
Earnings per share - Basic/Diluted (Rs)	14.62	11.20	30.5	4.08	5.06	(19.3)	15.28	11.99	27.5	4.43	5.44	(18.5)

STATEMENT OF COMPREHENSIVE INCOME

	Bank						Group					
	For the year ended 31st December			For the quarter ended 31st December			For the year ended 31st December			For the quarter ended 31st December		
	2023 (Audited) Rs 000	2022 (Audited) Rs 000	Change %	2023 Rs 000	2022 Rs 000	Change %	2023 (Audited) Rs 000	2022 (Audited) Rs 000	Change %	2023 Rs 000	2022 Rs 000	Change %
Profit for the period	17,140,079	13,134,152	30.5	4,790,385	5,933,759	(19.3)	17,924,282	14,060,510	27.5	5,194,145	6,374,940	(18.5)
Other comprehensive income												
Items that will be reclassified to profit or loss:												
Debt instruments at fair value through other comprehensive income:												
Gain/(loss) arising on re-measurement	13,748,274	(4,477,620)	407.0	1,048,606	(227,738)	560.4	13,748,274	(4,477,620)	407.0	1,048,606	(227,738)	560.4
Reclassification to profit or loss due to derecognition	(282,107)	13,481	(2,192.6)	(123,410)	(2,788)	(4,326.5)	(282,107)	13,481	(2,192.6)	(123,410)	(2,788)	(4,326.5)
Changes in impairment recycled to profit or loss	281,884	538,230	(47.6)	21,452	113,069	(81.0)	281,884	538,230	(47.6)	21,452	113,069	(81.0)
Reclassification of treasury bonds at FVOCI to amortised cost	-	4,787,611	(100.0)	-	-	-	-	4,787,611	(100.0)	-	-	-
Deferred tax effect on the above	(4,124,415)	(167,626)	(2,360.5)	(283,994)	67,373	(521.5)	(4,124,415)	(167,626)	(2,360.5)	(283,994)	67,373	(521.5)
Net other comprehensive income to be reclassified to profit or loss	9,623,636	694,076	1,286.5	662,654	(50,084)	1,423.1	9,623,636	694,076	1,286.5	662,654	(50,084)	1,423.1
Items that will not be reclassified to profit or loss:												
Equity instruments at fair value through other comprehensive income:												
Loss arising on re-measurement	-	(3,213,837)	100.0	-	(82,728)	100.0	-	(3,213,837)	100.0	-	(82,728)	100.0
Exchange (loss)/gain in translation	(754,648)	3,433,832	(122.0)	11,545	201	5,643.8	(754,648)	3,433,832	(122.0)	11,545	201	5,643.8
Deferred tax effect on the above	226,394	(284,058)	179.7	(3,464)	(211,453)	98.4	226,394	(284,058)	179.7	(3,464)	(211,453)	98.4
	(528,254)	(64,063)	(724.6)	8,081	(293,980)	102.7	(528,254)	(64,063)	(724.6)	8,081	(293,980)	102.7
Actuarial (loss)/gain on defined benefit plans	(884,546)	1,146,179	(177.2)	(884,546)	1,146,179	(177.2)	(881,559)	1,157,109	(176.2)	(881,559)	1,157,109	(176.2)
Deferred tax effect on the above	265,364	(203,418)	230.5	265,364	(203,418)	230.5	264,468	(205,712)	228.6	264,468	(205,712)	228.6
	(619,182)	942,761	(165.7)	(619,182)	942,761	(165.7)	(617,091)	951,397	(164.9)	(617,091)	951,397	(164.9)
Revaluation surplus on property, plant & equipment	-	977,915	(100.0)	-	977,915	(100.0)	-	1,854,607	(100.0)	-	1,854,607	(100.0)
Deferred tax effect on the above	-	(542,841)	100.0	-	(542,841)	100.0	-	(1,055,321)	100.0	-	(1,055,321)	100.0
	-	435,074	(100.0)	-	435,074	(100.0)	-	799,286	(100.0)	-	799,286	(100.0)
Net other comprehensive income not to be reclassified to profit or loss	(1,147,436)	1,313,772	(187.3)	(611,101)	1,083,855	(156.4)	(1,145,345)	1,686,620	(167.9)	(609,010)	1,456,703	(141.8)
Other comprehensive income net of tax	8,476,200	2,007,848	322.2	51,553	1,033,771	(95.0)	8,478,291	2,380,696	256.1	53,644	1,406,619	(96.2)
Total comprehensive income for the period net of tax	25,616,279	15,142,000	69.2	4,841,938	6,967,530	(30.5)	26,402,573	16,441,206	60.6	5,247,789	7,781,559	(32.6)
Attributable to:												
Equity holders of the Bank	25,616,279	15,142,000	69.2	4,841,938	6,967,530	(30.5)	26,402,573	16,441,206	60.6	5,247,789	7,781,559	(32.6)
Non-controlling interest	-	-	-	-	-	-	-	-	-	-	-	-
	25,616,279	15,142,000	69.2	4,841,938	6,967,530	(30.5)	26,402,573	16,441,206	60.6	5,247,789	7,781,559	(32.6)

STATEMENT OF FINANCIAL POSITION

As at	31st December 2023 (Audited) Rs 000	Bank 31st December 2022 (Audited) Rs 000	Change %	31st December 2023 (Audited) Rs 000	Group 31st December 2022 (Audited) Rs 000	Change %
ASSETS						
Cash & cash equivalents	79,272,087	79,162,545	0.1	79,530,247	79,344,587	0.2
Balances with Central Bank of Sri Lanka	14,463,854	31,579,185	(54.2)	14,463,854	31,579,185	(54.2)
Placements with banks	33,741,322	10,927,216	208.8	33,741,322	10,927,216	208.8
Reverse repurchase agreements	-	10,072,569	(100.0)	150,400	10,299,569	(98.5)
Derivative financial instruments	587,577	44,598	1,217.5	587,577	44,598	1,217.5
Financial assets recognised through profit or loss - measured at fair value	4,744,188	4,641,277	2.2	4,841,302	4,822,395	0.4
Financial assets at amortised cost						
- loans & advances	756,435,559	811,157,649	(6.7)	787,355,719	839,976,738	(6.3)
- debt & other instruments	368,100,002	278,775,796	32.0	373,899,842	284,237,662	31.5
Financial assets - fair value through other comprehensive income	216,022,295	32,772,930	559.1	216,022,351	32,772,986	559.1
Investment in subsidiaries	4,110,642	3,898,512	5.4	-	-	-
Property, plant & equipment	9,623,120	8,910,525	8.0	19,960,610	19,067,412	4.7
Intangible assets	745,395	578,031	29.0	766,532	600,341	27.7
Right-of-use assets	3,605,525	3,540,286	1.8	3,152,666	3,265,770	(3.5)
Deferred tax assets	17,292,023	21,734,244	(20.4)	17,517,519	21,992,147	(20.3)
Other assets	33,204,832	26,630,974	24.7	35,386,047	28,388,956	24.6
Total Assets	1,541,948,421	1,324,426,337	16.4	1,587,375,988	1,367,319,562	16.1
LIABILITIES						
Due to banks	11,621,838	11,297,181	2.9	17,344,766	15,255,184	13.7
Derivative financial instruments	1,498,777	1,449,393	3.4	1,498,777	1,449,393	3.4
Securities sold under repurchase agreements	34,688,209	2,283,291	1,419.2	34,438,086	2,283,291	1,408.3
Financial liabilities at amortised cost						
- due to depositors	1,253,642,547	1,096,099,874	14.4	1,276,551,041	1,115,155,879	14.5
- due to other borrowers	6,637,129	9,173,923	(27.7)	6,637,129	9,173,923	(27.7)
- due to debt securities holders	26,709,893	25,259,536	5.7	30,386,809	32,872,261	(7.6)
Retirement benefit obligation	3,170,247	1,845,228	71.8	3,355,039	1,998,238	67.9
Dividend payable	212,571	187,141	13.6	212,571	187,141	13.6
Current tax liabilities	16,220,788	18,754,155	(13.5)	16,688,675	19,186,239	(13.0)
Deferred tax liabilities	-	-	-	1,465,112	1,465,662	-
Other liabilities	39,673,346	31,696,670	25.2	40,967,491	32,741,284	25.1
Total Liabilities	1,394,075,345	1,198,046,392	16.4	1,429,545,496	1,231,768,495	16.1

STATEMENT OF FINANCIAL POSITION

As at	31st December 2023 (Audited) Rs 000	Bank 31st December 2022 (Audited) Rs 000	Change %	31st December 2023 (Audited) Rs 000	Group 31st December 2022 (Audited) Rs 000	Change %
EQUITY						
Stated capital	48,741,119	47,622,493	2.3	48,741,119	47,622,493	2.3
Reserves						
Statutory reserve fund	6,615,000	5,755,000	14.9	6,929,000	6,033,000	14.9
Other reserves	81,950,709	64,832,981	26.4	85,448,647	68,330,919	25.1
Retained earnings	10,566,248	8,169,471	29.3	16,711,726	13,564,655	23.2
Total equity attributable to equity holders of the Bank	147,873,076	126,379,945	17.0	157,830,492	135,551,067	16.4
Non-controlling interest	-	-	-	-	-	-
Total Equity	147,873,076	126,379,945	17.0	157,830,492	135,551,067	16.4
Total Liabilities & Equity	1,541,948,421	1,324,426,337	16.4	1,587,375,988	1,367,319,562	16.1
Commitments & contingencies	481,333,065	315,363,167	52.6	479,795,279	314,491,810	52.6
Net asset value per share (Rs)	126.10	107.77	17.0	134.59	115.59	16.4

Memorandum information

Number of employees	4,179	3,948
Number of branches	229	229

CERTIFICATION:

I certify that the above Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007.

(Sgd)

Ajantha de Vas Gunasekara
Executive Director/Chief Financial Officer

We, the undersigned, being the Chairman and the Managing Director of Sampath Bank PLC, certify jointly that:

- (a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka; and
- (b) the information contained in these statements have been extracted from the audited Financial Statements of the Bank and its subsidiary companies.

(Sgd)

Harsha Amarasekera
Chairman
14th February 2024

(Sgd)

Ayodhya Iddawela Perera
Managing Director

STATEMENT OF CHANGES IN EQUITY

Bank (Audited)

For the year ended 31st December 2022	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve		
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2022	47,622,493	5,075,000	3,159,910	1,618,637	52,468,905	8,806,714	118,751,659
Adjustment for Surcharge Tax levied under the Surcharge Tax Act No. 14 of 2022	-	-	-	-	-	(2,670,567)	(2,670,567)
Adjusted balance as at 1st January 2022	47,622,493	5,075,000	3,159,910	1,618,637	52,468,905	6,136,147	116,081,092
Total comprehensive income for the year							
Profit for the year	-	-	-	-	-	13,134,152	13,134,152
Other comprehensive income	-	-	435,074	630,013	-	942,761	2,007,848
Total comprehensive income for the year	-	-	435,074	630,013	-	14,076,913	15,142,000
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders							
Final dividend for 2021: cash	-	-	-	-	-	(4,863,589)	(4,863,589)
Unclaimed dividend adjustments	-	-	-	-	20,442	-	20,442
Total contributions by and distributions to equity holders	-	-	-	-	20,442	(4,863,589)	(4,843,147)
Transfer to reserves during the year	-	680,000	-	-	6,500,000	(7,180,000)	-
Balance as at 31st December 2022	47,622,493	5,755,000	3,594,984	2,248,650	58,989,347	8,169,471	126,379,945

For the year ended 31st December 2023	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve		
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2023	47,622,493	5,755,000	3,594,984	2,248,650	58,989,347	8,169,471	126,379,945
Total comprehensive income for the year							
Profit for the year	-	-	-	-	-	17,140,079	17,140,079
Other comprehensive income	-	-	-	9,095,382	-	(619,182)	8,476,200
Total comprehensive income for the year	-	-	-	9,095,382	-	16,520,897	25,616,279
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders							
Final dividend for 2022: scrip	1,118,626	-	-	-	-	(1,316,031)	(197,405)
Final dividend for 2022: cash	-	-	-	-	-	(3,948,089)	(3,948,089)
Unclaimed dividend adjustments	-	-	-	-	22,346	-	22,346
Total contributions by and distributions to equity holders	1,118,626	-	-	-	22,346	(5,264,120)	(4,123,148)
Transfer to reserves during the year	-	860,000	-	-	8,000,000	(8,860,000)	-
Balance as at 31st December 2023	48,741,119	6,615,000	3,594,984	11,344,032	67,011,693	10,566,248	147,873,076

STATEMENT OF CHANGES IN EQUITY

Group (Audited)

For the year ended 31st December 2022	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity Attributable to Equity Holders of the Bank	Non Controlling Interest	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve				
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2022	47,622,493	5,315,000	6,293,636	1,618,637	52,468,905	13,866,847	127,185,518	-	127,185,518
Adjustment for Surcharge Tax levied under the Surcharge Tax Act No. 14 of 2022	-	-	-	-	-	(3,232,510)	(3,232,510)	-	(3,232,510)
Adjusted balance as at 1st January 2022	47,622,493	5,315,000	6,293,636	1,618,637	52,468,905	10,634,337	123,953,008	-	123,953,008
Total comprehensive income for the year									
Profit for the year	-	-	-	-	-	14,060,510	14,060,510	-	14,060,510
Other comprehensive income	-	-	799,286	630,013	-	951,397	2,380,696	-	2,380,696
Total comprehensive income for the year	-	-	799,286	630,013	-	15,011,907	16,441,206	-	16,441,206
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders									
Final dividend for 2021: cash	-	-	-	-	-	(4,863,589)	(4,863,589)	-	(4,863,589)
Unclaimed dividend adjustments	-	-	-	-	20,442	-	20,442	-	20,442
Total contributions by and distributions to equity holders	-	-	-	-	20,442	(4,863,589)	(4,843,147)	-	(4,843,147)
Transfer to reserves during the year	-	718,000	-	-	6,500,000	(7,218,000)	-	-	-
Balance as at 31st December 2022	47,622,493	6,033,000	7,092,922	2,248,650	58,989,347	13,564,655	135,551,067	-	135,551,067

For the year ended 31st December 2023	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity Attributable to Equity Holders of the Bank	Non Controlling Interest	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve				
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2023	47,622,493	6,033,000	7,092,922	2,248,650	58,989,347	13,564,655	135,551,067	-	135,551,067
Total comprehensive income for the year									
Profit for the year	-	-	-	-	-	17,924,282	17,924,282	-	17,924,282
Other comprehensive income	-	-	-	9,095,382	-	(617,091)	8,478,291	-	8,478,291
Total comprehensive income for the year	-	-	-	9,095,382	-	17,307,191	26,402,573	-	26,402,573
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders									
Final dividend for 2022: scrip	1,118,626	-	-	-	-	(1,316,031)	(197,405)	-	(197,405)
Final dividend for 2022: cash	-	-	-	-	-	(3,948,089)	(3,948,089)	-	(3,948,089)
Unclaimed dividend adjustments	-	-	-	-	22,346	-	22,346	-	22,346
Total contributions by and distributions to equity holders	1,118,626	-	-	-	22,346	(5,264,120)	(4,123,148)	-	(4,123,148)
Transfer to reserves during the year	-	896,000	-	-	8,000,000	(8,896,000)	-	-	-
Balance as at 31st December 2023	48,741,119	6,929,000	7,092,922	11,344,032	67,011,693	16,711,726	157,830,492	-	157,830,492

STATEMENT OF CASH FLOWS

For the year ended 31st December	Bank		Group	
	2023 (Audited) Rs 000	2022 (Audited) Rs 000	2023 (Audited) Rs 000	2022 (Audited) Rs 000
Cash flows from operating activities				
Interest receipts	191,742,377	142,302,283	201,389,033	149,076,097
Interest payments	(130,310,620)	(71,003,192)	(135,941,536)	(74,978,503)
Net commission receipts	18,904,279	19,436,145	19,536,747	20,179,574
Cash payments to employees	(12,697,724)	(11,540,242)	(14,217,850)	(12,881,663)
Taxes on financial services	(9,473,348)	(3,905,145)	(9,923,944)	(4,311,899)
Receipts from other operating activities	1,342,722	1,549,881	2,302,112	2,475,703
Cash payments to other operating activities	(15,022,764)	(12,472,909)	(16,146,309)	(13,637,995)
Operating profit before changes in operating assets & liabilities	44,484,922	64,366,821	46,998,253	65,921,314
Decrease/(increase) in operating assets				
Balances with Central Bank of Sri Lanka	17,115,331	(704,629)	17,115,331	(704,629)
Financial assets at amortised cost - loans & advances	27,859,038	(19,883,211)	25,070,961	(15,197,151)
Other assets	(7,228,410)	(11,082,349)	(7,678,957)	(11,437,568)
	37,745,959	(31,670,189)	34,507,335	(27,339,348)
Increase/(decrease) in operating liabilities				
Due to banks	908,354	(16,630,586)	2,628,776	(20,964,596)
Re-purchase agreements	32,522,183	(2,019,286)	32,272,060	(2,019,286)
Financial liabilities at amortised cost - due to depositors	179,368,098	9,159,796	182,753,734	11,407,514
Financial liabilities at amortised cost - due to other borrowers	(2,525,136)	(5,253,119)	(2,525,136)	(5,253,119)
Other liabilities	8,214,834	9,275,832	8,513,773	9,163,991
	218,488,333	(5,467,363)	223,643,207	(7,665,496)
Net cash generated from operating activities before income tax	300,719,214	27,229,269	305,148,795	30,916,470
Income tax paid	(14,344,132)	(7,434,912)	(14,934,280)	(8,495,239)
Surcharge tax paid	-	(2,670,567)	-	(3,232,510)
Net cash generated from operating activities	286,375,082	17,123,790	290,214,515	19,188,721
Cash flows from investing activities				
Purchase of property, plant & equipment	(1,587,186)	(887,298)	(2,209,713)	(2,080,445)
Proceeds from disposal of property, plant & equipment	591	1,905	3,704	3,777
Net cash flow from reverse repurchase agreements	10,000,000	(7,250,000)	10,076,600	(5,367,089)
Net cash flow from financial assets - FVPL	474,885	(231,345)	512,307	(413,023)
Net cash flow from debt instruments at amortised cost	(109,767,329)	56,989,231	(110,105,303)	52,427,606
Net cash flow from financial assets - FVOCI	(151,786,388)	3,028,313	(151,786,388)	3,028,313
Purchase of intangible assets	(429,348)	(309,934)	(437,982)	(321,964)
Dividend received from financial assets	138,679	162,317	140,163	162,557
Net cash (used in)/generated from investing activities	(252,956,096)	51,503,189	(253,806,612)	47,439,732
Cash flows from financing activities				
Proceeds from the issue of debentures	10,000,000	-	10,000,000	-
Redemption of debentures	(7,500,000)	(6,000,000)	(9,500,000)	(7,000,000)
Net proceeds from securitisation	-	-	(1,705,002)	2,163,000
Repayment of long term bond	(600,000)	-	(600,000)	-
Dividend paid	(4,145,494)	(4,863,589)	(4,145,494)	(4,863,589)
Repayment of principal portion of lease liabilities	(1,684,608)	(1,203,807)	(945,581)	(721,391)
Net cash used in financing activities	(3,930,102)	(12,067,396)	(6,896,077)	(10,421,980)
Net cash generated during the year	29,488,884	56,559,583	29,511,826	56,206,473
Net foreign exchange difference	(6,559,801)	8,357,060	(6,559,801)	8,357,060
Cash & cash equivalents at the beginning of the year	90,071,931	25,155,288	89,862,724	25,299,191
Cash & cash equivalents at the end of the year	113,001,014	90,071,931	112,814,749	89,862,724

NOTES TO THE FINANCIAL STATEMENTS

1 Analysis of Loans and Advances and Impairment

	Bank		Group	
	31st December 2023 (Audited) Rs 000	31st December 2022 (Audited) Rs 000	31st December 2023 (Audited) Rs 000	31st December 2022 (Audited) Rs 000
As at				
1.1 Gross loans & advances	877,317,072	920,121,651	911,925,231	953,090,229
Less: Accumulated impairment under stage 1	12,906,592	9,917,653	12,913,484	9,934,498
Accumulated impairment under stage 2	24,962,148	44,751,656	25,746,701	45,651,154
Accumulated impairment under stage 3	83,012,773	54,294,693	85,909,327	57,527,839
Net loans & advances	756,435,559	811,157,649	787,355,719	839,976,738
1.2 Product-wise loans and advances				
Local currency				
Bills of exchange	182,672	199,719	182,672	199,719
Leasing	21,349,645	28,705,433	50,621,080	56,212,902
Housing loans	49,859,121	54,481,331	49,859,121	54,481,331
Export loans	4,990,737	3,107,861	4,990,737	3,107,861
Import loans	68,914,981	87,188,988	68,914,981	87,188,988
Refinance loans	5,556,161	8,869,594	5,556,161	8,869,594
Term loans	360,477,760	369,913,048	357,626,220	366,794,405
Overdraft	84,268,300	87,331,782	83,769,781	86,335,675
Staff loans	10,313,063	10,888,428	10,428,627	11,026,852
Pawning and gold loans	80,715,233	67,897,237	88,683,130	76,603,695
Credit cards	21,027,761	20,790,055	21,027,720	20,790,032
Money market loans	30,700,866	11,363,511	30,700,866	11,363,511
Factoring	1,831,406	1,837,544	1,985,699	2,209,110
Others	11,469	5,720	460,539	365,154
Sub total	740,199,175	752,580,251	774,807,334	785,548,829
Foreign currency				
Bills of exchange	2,111,535	2,288,964	2,111,535	2,288,964
Housing loans	329,343	728,261	329,343	728,261
Export loans	30,526,159	37,670,492	30,526,159	37,670,492
Import loans	13,584,472	10,660,352	13,584,472	10,660,352
Term loans	81,339,083	105,074,508	81,339,083	105,074,508
Overdraft	9,202,712	11,051,658	9,202,712	11,051,658
Others	24,593	67,165	24,593	67,165
Sub total	137,117,897	167,541,400	137,117,897	167,541,400
Total gross loans and advances	877,317,072	920,121,651	911,925,231	953,090,229

1.3 Movement of Impairment During the Year

Bank	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2023	9,917,653	44,751,656	54,294,693	108,964,002
Net charge/(reversal) for the year	3,130,378	(18,677,580)	33,613,871	18,066,669
Write-off during the year	-	-	(708,986)	(708,986)
Interest income accrued on impaired loans & advances	-	-	(5,333,637)	(5,333,637)
Other movements including exchange differences	(141,439)	(1,111,928)	1,146,832	(106,535)
Balance as at 31st December 2023	12,906,592	24,962,148	83,012,773	120,881,513

Group	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2023	9,934,498	45,651,154	57,527,839	113,113,491
Net charge/(reversal) for the year	3,120,425	(18,792,525)	33,795,768	18,123,668
Write-off during the year	-	-	(1,227,387)	(1,227,387)
Interest income accrued on impaired loans & advances	-	-	(5,335,198)	(5,335,198)
Other movements including exchange differences	(141,439)	(1,111,928)	1,148,305	(105,062)
Balance as at 31st December 2023	12,913,484	25,746,701	85,909,327	124,569,512

NOTES TO THE FINANCIAL STATEMENTS

2 Analysis of Commitments and Contingencies and Impairment

	Bank		Group	
	31st December 2023 (Audited) Rs 000	31st December 2022 (Audited) Rs 000	31st December 2023 (Audited) Rs 000	31st December 2022 (Audited) Rs 000
As at				
2.1 Gross commitments and contingencies	484,568,563	318,482,231	483,014,792	317,605,110
Less: Accumulated impairment under stage 1	2,507,806	2,128,073	2,491,821	2,122,309
Accumulated impairment under stage 2	701,999	975,413	701,999	975,413
Accumulated impairment under stage 3	25,693	15,578	25,693	15,578
Net commitments and contingencies	481,333,065	315,363,167	479,795,279	314,491,810
2.2 Product-wise commitments and contingencies				
Local currency				
Credit related commitments & contingencies				
Undrawn - direct credit facilities	116,854,253	103,715,092	115,140,510	102,562,272
Undrawn - indirect credit facilities	65,688,629	66,213,062	65,688,629	66,213,062
Acceptances	26,325	89,863	26,325	89,863
Documentary credit	1,003,478	1,174,783	1,003,478	1,174,783
Guarantees	31,886,127	39,984,632	31,889,127	39,990,333
	215,458,812	211,177,432	213,748,069	210,030,313
Other commitments & contingencies				
Capital commitments	632,692	843,434	789,664	1,113,432
Operating lease commitments	84,450	64,405	84,450	64,405
Forward exchange contracts	5,288,272	1,349,606	5,288,272	1,349,606
Currency SWAPs	107,447,795	4,631,690	107,447,795	4,631,690
	113,453,209	6,889,135	113,610,181	7,159,133
Sub total	328,912,021	218,066,567	327,358,250	217,189,446
Foreign currency				
Credit related commitments & contingencies				
Undrawn - direct credit facilities	38,693,848	46,406,625	38,693,848	46,406,625
Undrawn - indirect credit facilities	3,214,738	8,878,121	3,214,738	8,878,121
Acceptances	10,642,621	12,421,381	10,642,621	12,421,381
Documentary credit	27,338,763	19,816,721	27,338,763	19,816,721
Guarantees	3,605,317	3,839,585	3,605,317	3,839,585
	83,495,287	91,362,433	83,495,287	91,362,433
Other commitments & contingencies				
Capital commitments	300,712	117,551	300,712	117,551
Forward exchange contracts	23,146,684	2,666,132	23,146,684	2,666,132
Currency SWAPs	48,713,859	6,269,548	48,713,859	6,269,548
	72,161,255	9,053,231	72,161,255	9,053,231
Sub total	155,656,542	100,415,664	155,656,542	100,415,664
Total gross commitments and contingencies	484,568,563	318,482,231	483,014,792	317,605,110

2.3 Movement of Impairment During the Year

Bank	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2023	2,128,073	975,413	15,578	3,119,064
Net charge/(reversal) for the year	430,818	(207,123)	10,639	234,334
Other movements including exchange differences	(51,085)	(66,291)	(524)	(117,900)
Balance as at 31st December 2023	2,507,806	701,999	25,693	3,235,498

Group	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2023	2,122,309	975,413	15,578	3,113,300
Net charge/(reversal) for the year	420,597	(207,123)	10,639	224,113
Other movements including exchange differences	(51,085)	(66,291)	(524)	(117,900)
Balance as at 31st December 2023	2,491,821	701,999	25,693	3,219,513

NOTES TO THE FINANCIAL STATEMENTS

3 Analysis of Deposits

	Bank		Group	
As at	31st December 2023 (Audited) Rs 000	31st December 2022 (Audited) Rs 000	31st December 2023 (Audited) Rs 000	31st December 2022 (Audited) Rs 000
Local Currency Deposits				
Demand deposits	59,048,988	53,597,498	59,008,095	53,572,363
Saving deposits	272,907,275	241,685,530	272,917,719	241,614,954
Call deposits	3,743	6,022	3,743	6,022
Fixed deposits	698,430,507	579,849,920	721,369,450	599,001,636
Certificates of deposits	5,391,335	5,888,555	5,391,335	5,888,555
Margin deposits	1,121,567	1,854,990	1,121,567	1,854,990
Total local currency deposits	1,036,903,415	882,882,515	1,059,811,909	901,938,520
Foreign Currency Deposits				
Demand deposits	9,130,948	12,245,502	9,130,948	12,245,502
Saving deposits	80,753,895	52,657,036	80,753,895	52,657,036
Fixed deposits	126,656,250	148,164,690	126,656,250	148,164,690
Margin deposits	198,039	150,131	198,039	150,131
Total foreign currency deposits	216,739,132	213,217,359	216,739,132	213,217,359
Total deposits	1,253,642,547	1,096,099,874	1,276,551,041	1,115,155,879

EXPLANATORY NOTES

1. There are no changes to the accounting policies and methods of computation since the publication of the annual accounts for the year 2022.
2. The Group Financial Statements comprise a consolidation of the Bank and its fully owned subsidiaries, Sampath Centre Ltd, SC Securities (Pvt) Ltd, Siyapatha Finance PLC and Sampath Information Technology Solutions Ltd.
3. There are no material changes during the period in the composition of assets, liabilities and contingent liabilities. All known expenditure items have been provided for.
4. These interim Financial Statements are presented in accordance with Sri Lanka Accounting Standard - LKAS 34 (Interim Financial Reporting) and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.
5. The Group's External Auditors, Messrs Ernst & Young carried out an audit for the year ended 31st December 2023 and expressed an unqualified opinion on the Financial Statements of the Bank and the Group for the year ended 31st December 2023.

6. Market Price of a Share	2023 (Rs)	2022 (Rs)
Market Price as at 31st December	70.50	34.20
Highest Market Price during the quarter ended 31st December	74.00	42.00
Lowest Market Price during the quarter ended 31st December	60.00	30.00
Weighted Average Market Price during the quarter ended 31st December	67.76	35.05

Quoted shares and debentures of the Bank are only traded in Sri Lankan Rupees

7. Impairment of financial assets

Loans and advances

The Bank carefully assessed all individually significant loans as of 31st December 2023 and sufficient provisions have been incorporated into the Financial Statements. Additionally, the Bank revised the cash flow assumptions for customers who were previously impaired, ensuring that any deterioration in the credit quality of such customers has been appropriately addressed during the year.

The models used for collective impairment in 2022 were continued in 2023 as well to ensure that adequate buffers were in place to absorb any potential credit risk that could arise in the future. The Bank continued to adhere to its prudent approach during the year 2023, booking additional provisions against newly identified customer segments with elevated credit risk. The allowance for overlay applied in 2022 continued to be maintained for the current reporting period as well.

Other financial assets

The Bank accepted LKR bonds in settlement of SLDBs under the Domestic Debt Optimization (DDO) programme. The Bank recognised a day one loss against the local currency bonds received in settlement of SLDBs under the DDO programme. At the same time impairment provisions against its SLISB investments have been reassessed and adequate provisions have been made based on available information. The combined impact of these measures resulted in a net increase in impairment provision for the year ended 31st December 2023.

8. Events after the reporting period

There are no material events that took place after the reporting date which require adjustment to or disclosure in the Financial Statements other than the items disclosed under 8.1 & 8.2 below.

8.1 Proposed Dividend

The Board of Directors has recommended a final cash dividend of Rs 5.85 per share for the financial year ended 31st December 2023 subject to the approval of the shareholders at the Annual General Meeting to be held on 28th March 2024. In accordance with Sri Lanka Accounting Standard - LKAS 10 (Events after the Reporting Period), this proposed final dividend has not been recognised as a liability as at 31st December 2023. As required by section 56 (2) of the Companies Act No. 7 of 2007, the Board of Directors has confirmed that the Bank has satisfied the 'solvency test' in accordance with Section 57 of the Companies Act No. 7 of 2007.

8.2 Resignation of a Director

Dr J.T.V.S Weerawarana (Non-Executive, Independent Director) resigned from the Board of Directors with effect from 01st January 2024.

9. Utilisation of funds raised via capital markets

The funds raised via capital markets in the current/previous years were fully utilised for the objectives stated in the relevant prospectuses.

10. Reclassification of Debt Portfolio in 2022

In 2022, the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) issued a "Statement of Alternative Treatment (SoAT) on Reclassification of Debt portfolio" which provided a one-off option to the entities to reclassify their debt portfolios measured at Fair Value through Other Comprehensive Income (FVOCI) to Amortised Cost (AC). This SoAT was issued considering the unprecedented macro-economic conditions prevailed during the year 2022. Applying this SoAT, the Bank reclassified its FVOCI treasury bond portfolio with effect from 1st April 2022 to AC.

Amortised cost of the treasury bonds reclassified from FVOCI and outstanding as at 31st December 2023 amounted to Rs 1,478.5 Mn. Had these treasury bonds continued at FVOCI, the fair value and the cumulative mark to market loss as at 31st December 2023 would have been Rs 1,394.3 Mn and Rs 84.2 Mn respectively.

SAMPATH BANK PLC (ORDINARY SHARES)
TOP 20 SHAREHOLDERS AS AT 31ST DECEMBER 2023

Name of the Shareholder	No. of shares	% holding
1 Vallibel One PLC	175,352,762	14.95
2 Phantom Investments (Pvt) Limited	117,270,076	10.00
3 Ayenka Holdings Private Limited*	116,948,834	9.97
4 Employees' Provident Fund	116,948,697	9.97
5 Mr Y S H I Silva**	96,121,110	8.20
6 Rosewood (Pvt) Limited - Account No.1	52,830,454	4.51
7 Akbar Brothers Pvt Ltd A/C No.1	28,134,771	2.40
8 Senthilverl Holdings (Pvt) Ltd	23,097,646	1.97
9 Employees' Trust Fund Board	19,959,469	1.70
10 Citibank Newyork S/A Norges Bank Account 2	14,786,572	1.26
11 Sampath Bank PLC Account No. 4 (Sampath Bank Pension Fund)	11,832,461	1.01
12 Mrs P D A S Beruwalage	11,555,469	0.99
13 BBH - Tundra Sustainable Frontier Fund	9,837,629	0.84
14 Mr W Jinadasa	9,201,828	0.78
15 SSBT - Global Macro Capital Opportunities Portfolio	7,996,613	0.68
16 SSBT - AL Mehwar Commercial Investments L.L.C.	6,877,041	0.59
17 Magna Wealth (Pvt) Ltd	6,361,683	0.54
18 Phoenix Ventures Private Limited	5,776,512	0.49
19 Hatton National Bank PLC - Capital Alliance Quantitative Equity Fund	5,725,494	0.49
20 Mr B A Mahipala	4,756,704	0.41
	841,371,825	71.75
Shares held by Directors	328,893	0.03
Balance held by other shareholders	331,000,042	28.22
Total	1,172,700,760	100.00

*Mr. Prabhash Subasinghe, the Managing Director of Ayenka Holdings (Pvt) Ltd, was appointed as a Non-Executive, Non-Independent Director of the Bank with effect from 01st December 2023. Accordingly, the shareholding of Ayenka Holdings (Pvt) Ltd has been excluded from the public shareholding of the Bank.

**Mr Rushanka Silva, the Managing Director of Indra Traders (Pvt) Ltd, was appointed as a Non-Executive, Non-Independent Director of the Bank with effect from 01st September 2017. Accordingly the shareholding of Mr Y S H I Silva, who is the main shareholder of Indra Traders (Pvt) Ltd, has been excluded from the public shareholding of the Bank.

As at	31st December 2023
Number of public shareholders	29,164
Percentage of public holding	80.79%
Float adjusted market capitalization	Rs 67 Bn

The Bank complies with the minimum public holding requirement under option 1 of Listing Rules Section 7.13.1 (i) (a).

Directors' Holding in Shares of Sampath Bank PLC

Director's Name	No. of shares held	
	As at 31st December 2023	As at 31st December 2022
1 Mr Harsha Amarasekera	-	-
2 Mr Rushanka Silva	-	-
3 Mr D K de Silva Wijeyeratne	-	-
4 Ms A Nanayakkara	-	-
5 Dr J T V S Weerawarana (resigned w.e.f. 01st January 2024)	-	-
6 Mr Vajira Kulatilaka	-	-
7 Ms R K Jayawardena	-	-
8 Mr Vinod Hirdaramani	288,087	281,129
9 Mr Hiran Cabraal	-	-
10 Mr Prabhash Subasinghe (appointed w.e.f. 01st December 2023)	40,195	Not applicable
11 Ms Ayodhya Iddawela Perera (Managing Director) (appointed w.e.f. 01st July 2023)	611	Not applicable
12 Mr D A de Vas Gunasekara (Chief Financial Officer)	-	-

Segment Information - Group (Audited)

For the year ended 31st December	Corporate Banking		Retail & Personal Banking		Dealing/Investment		Others		(Eliminations)/Unallocated		Total	
	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Net interest income	31,709,486	47,746,614	61,161,486	47,843,168	23,767,220	15,600,571	-	-	(41,195,258)	(35,148,260)	75,442,934	76,042,093
Net fee & commission income	5,395,558	6,233,768	13,817,878	13,517,204	305,501	433,824	-	-	-	-	19,518,937	20,184,796
Net gain/(loss) from trading	-	-	-	-	708,976	(2,266,306)	-	-	-	-	708,976	(2,266,306)
Net gain on derecognition of financial assets	-	-	-	-	599,423	559,216	-	-	-	-	599,423	559,216
Net other operating income	116,420	143,270	1,862,358	2,046,560	2,729,044	(1,414,509)	230,714	126,408	(5,745,915)	19,346,308	(807,379)	20,248,037
Total revenue from external customers	37,221,464	54,123,652	76,841,722	63,406,932	28,110,164	12,912,796	230,714	126,408	(46,941,173)	(15,801,952)	95,462,891	114,767,836
Inter segment (expense)/income	(958,968)	(1,501,031)	1,028,757	1,544,461	-	-	856,056	685,590	(925,845)	(729,020)	-	-
Total operating income	36,262,496	52,622,621	77,870,479	64,951,393	28,110,164	12,912,796	1,086,770	811,998	(47,867,018)	(16,530,972)	95,462,891	114,767,836
Less: Impairment charge	8,339,039	28,725,504	10,009,708	26,311,844	1,905,367	7,844,254	(10,488)	12,448	(34,024)	14,071	20,209,602	62,908,121
Net operating income	27,923,457	23,897,117	67,860,771	38,639,549	26,204,797	5,068,542	1,097,258	799,550	(47,832,994)	(16,545,043)	75,253,289	51,859,715
Less: Total operating expenses	578,037	516,687	19,848,086	17,243,591	528,084	429,661	568,538	428,149	13,443,590	11,270,229	34,966,335	29,888,317
Segment result	27,345,420	23,380,430	48,012,685	21,395,958	25,676,713	4,638,881	528,720	371,401	(61,276,584)	(27,815,272)	40,286,954	21,971,398
Less: Taxes on financial services											9,085,431	5,576,779
Less: Income tax expense											13,277,241	2,334,109
Profit for the year											17,924,282	14,060,510
Non controlling interest											-	-
Profit attributable to equity holders of the Bank											17,924,282	14,060,510
As at 31st December	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Segment assets	372,273,861	422,488,549	475,800,642	489,114,995	630,880,623	344,425,424	9,048,167	8,507,184	(11,670,572)	(11,500,447)	1,476,332,721	1,253,035,705
Unallocated assets	-	-	-	-	-	-	-	-	111,043,267	114,283,857	111,043,267	114,283,857
Total assets	372,273,861	422,488,549	475,800,642	489,114,995	630,880,623	344,425,424	9,048,167	8,507,184	99,372,695	102,783,410	1,587,375,988	1,367,319,562
Segment liabilities	33,458,478	40,942,456	1,267,724,101	1,095,172,868	39,670,000	9,387,667	3,151,114	2,988,784	(7,875,926)	(7,823,991)	1,336,127,767	1,140,667,784
Unallocated liabilities	-	-	-	-	-	-	-	-	93,417,729	91,100,711	93,417,729	91,100,711
Total liabilities	33,458,478	40,942,456	1,267,724,101	1,095,172,868	39,670,000	9,387,667	3,151,114	2,988,784	85,541,803	83,276,720	1,429,545,496	1,231,768,495
For the year ended 31st December	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Cash flows from operating activities	47,132,460	10,837,142	242,965,546	10,852,519	(508,083)	(498,247)	744,633	213,342	(120,041)	(2,216,035)	290,214,515	19,188,721
Cash flows from investing activities	-	-	-	-	(250,824,884)	52,556,933	(649,588)	(493,569)	(2,332,140)	(4,623,632)	(253,806,612)	47,439,732
Cash flows from financing activities	-	-	(2,290,103)	(1,850,582)	-	-	70,077	(36,130)	(4,676,051)	(8,535,268)	(6,896,077)	(10,421,980)
Capital expenditure	-	-	(92,089)	(657,979)	-	-	(537,048)	(542,402)	(2,018,558)	(1,202,028)	(2,647,695)	(2,402,409)

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Bank - As at 31st December 2023 (Audited)

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	79,272,087	-	79,272,087
Balances with Central Bank of Sri Lanka	-	14,463,854	-	14,463,854
Placements with banks	-	33,741,322	-	33,741,322
Reverse repurchase agreements	-	-	-	-
Derivative financial instruments	587,577	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	4,744,188	-	-	4,744,188
Financial assets at amortised cost	-	-	-	-
- loans & advances	-	756,435,559	-	756,435,559
- debt & other instruments	-	368,100,002	-	368,100,002
Financial assets - fair value through other comprehensive income	-	-	216,022,295	216,022,295
Other assets	-	27,778,625	-	27,778,625
Total Financial Assets	5,331,765	1,279,791,449	216,022,295	1,501,145,509

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	11,621,838	11,621,838
Derivative financial instruments	1,498,777	-	1,498,777
Securities sold under repurchase agreements	-	34,688,209	34,688,209
Financial liabilities at amortised cost	-	-	-
- due to depositors	-	1,253,642,547	1,253,642,547
- due to other borrowers	-	6,637,129	6,637,129
- due to debt securities holders	-	26,709,893	26,709,893
Dividend payable	-	212,571	212,571
Other liabilities	-	32,953,593	32,953,593
Total Financial Liabilities	1,498,777	1,366,465,780	1,367,964,557

Bank - As at 31st December 2022 (Audited)

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	79,162,545	-	79,162,545
Balances with Central Bank of Sri Lanka	-	31,579,185	-	31,579,185
Placements with banks	-	10,927,216	-	10,927,216
Reverse repurchase agreements	-	10,072,569	-	10,072,569
Derivative financial instruments	44,598	-	-	44,598
Financial assets recognised through profit or loss - measured at fair value	4,641,277	-	-	4,641,277
Financial assets at amortised cost	-	-	-	-
- loans & advances	-	811,157,649	-	811,157,649
- debt & other instruments	-	278,775,796	-	278,775,796
Financial assets - fair value through other comprehensive income	-	-	32,772,930	32,772,930
Other assets	-	21,174,017	-	21,174,017
Total Financial Assets	4,685,875	1,242,848,977	32,772,930	1,280,307,782

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	11,297,181	11,297,181
Derivative financial instruments	1,449,393	-	1,449,393
Securities sold under repurchase agreements	-	2,283,291	2,283,291
Financial liabilities at amortised cost	-	-	-
- due to depositors	-	1,096,099,874	1,096,099,874
- due to other borrowers	-	9,173,923	9,173,923
- due to debt securities holders	-	25,259,536	25,259,536
Dividend payable	-	187,141	187,141
Other liabilities	-	24,725,468	24,725,468
Total Financial Liabilities	1,449,393	1,169,026,414	1,170,475,807

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Group - As at 31st December 2023 (Audited)

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	79,530,247	-	79,530,247
Balances with Central Bank of Sri Lanka	-	14,463,854	-	14,463,854
Placements with banks	-	33,741,322	-	33,741,322
Reverse repurchase agreements	-	150,400	-	150,400
Derivative financial instruments	587,577	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	4,841,302	-	-	4,841,302
Financial assets at amortised cost				
- loans & advances	-	787,355,719	-	787,355,719
- debt & other instruments	-	373,899,842	-	373,899,842
Financial assets - fair value through other comprehensive income	-	-	216,022,351	216,022,351
Other assets	-	29,462,947	-	29,462,947
Total Financial Assets	5,428,879	1,318,604,331	216,022,351	1,540,055,561

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	17,344,766	17,344,766
Derivative financial instruments	1,498,777	-	1,498,777
Securities sold under repurchase agreements	-	34,438,086	34,438,086
Financial liabilities at amortised cost			
- due to depositors	-	1,276,551,041	1,276,551,041
- due to other borrowers	-	6,637,129	6,637,129
- due to debt securities holders	-	30,386,809	30,386,809
Dividend payable	-	212,571	212,571
Other liabilities	-	33,316,061	33,316,061
Total Financial Liabilities	1,498,777	1,398,886,463	1,400,385,240

Group - As at 31st December 2022 (Audited)

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	79,344,587	-	79,344,587
Balances with Central Bank of Sri Lanka	-	31,579,185	-	31,579,185
Placements with banks	-	10,927,216	-	10,927,216
Reverse repurchase agreements	-	10,299,569	-	10,299,569
Derivative financial instruments	44,598	-	-	44,598
Financial assets recognised through profit or loss - measured at fair value	4,822,395	-	-	4,822,395
Financial assets at amortised cost				
- loans & advances	-	839,976,738	-	839,976,738
- debt & other instruments	-	284,237,662	-	284,237,662
Financial assets - fair value through other comprehensive income	-	-	32,772,986	32,772,986
Other assets	-	22,481,685	-	22,481,685
Total Financial Assets	4,866,993	1,278,846,642	32,772,986	1,316,486,621

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	15,255,184	15,255,184
Derivative financial instruments	1,449,393	-	1,449,393
Securities sold under repurchase agreements	-	2,283,291	2,283,291
Financial liabilities at amortised cost			
- due to depositors	-	1,115,155,879	1,115,155,879
- due to other borrowers	-	9,173,923	9,173,923
- due to debt securities holders	-	32,872,261	32,872,261
Dividend payable	-	187,141	187,141
Other liabilities	-	25,350,978	25,350,978
Total Financial Liabilities	1,449,393	1,200,278,657	1,201,728,050

FAIR VALUE OF FINANCIAL INSTRUMENTS

All financial assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, as described below.

(a) Level 1 – Quoted market price (unadjusted)

When available, the Bank measures the fair value of financial instruments using quoted market prices in an active market. Accordingly, quoted equity securities have been valued using quoted market prices as at the reporting date, while the fair values of treasury bills and bonds have been derived using the published yield curves.

(b) Level 2 – Valuation technique using observable inputs

If a market for a financial instrument is not active, then the Bank measures fair value of such instruments using quoted prices for similar assets and liabilities in active markets or quoted prices for identical/similar assets and liabilities in inactive markets or using models where all significant inputs are observable. The Bank has used the spot and forward premiums available as at the reporting date to estimate the fair value of derivative financial instruments. Fair values of financial assets and financial liabilities carried at amortised cost have been estimated by comparing the interest rates when they were first recognised with the current market rates of similar instruments.

(c) Level 3 – Valuation technique with significant unobservable inputs

Assets and liabilities valued using valuation techniques where one or more significant inputs are unobservable.

There are no material changes in the fair value of financial assets categorised under Level 3 compared to the values reported as at 31st December 2022. The Bank has not changed the valuation models and assumptions used to measure the fair values of Level 3 financial instruments during the year ended 31st December 2023.

Financial Assets & Liabilities Measured at Fair Value - Fair Value Hierarchy

Bank

Date of Valuation	As at 31st December 2023 (Audited)				As at 31st December 2022 (Audited)			
	Fair Value Measurement Using			Total	Fair Value Measurement Using			Total
	Quoted Prices in Active Markets (Level 1) Rs 000	Significant Observable Inputs (Level 2) Rs 000	Significant Unobservable Inputs (Level 3) Rs 000		Quoted Prices in Active Markets (Level 1) Rs 000	Significant Observable Inputs (Level 2) Rs 000	Significant Unobservable Inputs (Level 3) Rs 000	
Financial assets measured at fair value								
Derivative financial instruments	-	587,577	-	587,577	-	44,598	-	44,598
Financial assets - fair value through profit or loss	4,744,188	-	-	4,744,188	4,641,277	-	-	4,641,277
Financial assets - fair value through other comprehensive income	211,004,648	4,957,076	60,571	216,022,295	32,040,333	671,756	60,841	32,772,930
Total financial assets measured at fair value	215,748,836	5,544,653	60,571	221,354,060	36,681,610	716,354	60,841	37,458,805
Financial liabilities measured at fair value								
Derivative financial instruments	-	1,498,777	-	1,498,777	-	1,449,393	-	1,449,393
Total financial liabilities measured at fair value	-	1,498,777	-	1,498,777	-	1,449,393	-	1,449,393

Group

Date of Valuation	As at 31st December 2023 (Audited)				As at 31st December 2022 (Audited)			
	Fair Value Measurement Using			Total	Fair Value Measurement Using			Total
	Quoted Prices in Active Markets (Level 1) Rs 000	Significant Observable Inputs (Level 2) Rs 000	Significant Unobservable Inputs (Level 3) Rs 000		Quoted Prices in Active Markets (Level 1) Rs 000	Significant Observable Inputs (Level 2) Rs 000	Significant Unobservable Inputs (Level 3) Rs 000	
Financial assets measured at fair value								
Derivative financial instruments	-	587,577	-	587,577	-	44,598	-	44,598
Financial assets - fair value through profit or loss	4,841,302	-	-	4,841,302	4,822,395	-	-	4,822,395
Financial assets - fair value through other comprehensive income	211,004,648	4,957,076	60,627	216,022,351	32,040,333	671,756	60,897	32,772,986
Total financial assets measured at fair value	215,845,950	5,544,653	60,627	221,451,230	36,862,728	716,354	60,897	37,639,979
Financial liabilities measured at fair value								
Derivative financial instruments	-	1,498,777	-	1,498,777	-	1,449,393	-	1,449,393
Total financial liabilities measured at fair value	-	1,498,777	-	1,498,777	-	1,449,393	-	1,449,393

The investment in LankaBangla Finance PLC was transferred from Level 1 to Level 2 due to the lack of activity in the market for its shares, which were consistently traded at a regulatory floor price of Taka 26.00 per share throughout the year 2023. After performing alternative valuation methods, the Bank has determined that Taka 26.00 represents a fair value of the company's share price.

Apart from the mentioned transfer, the Bank/Group did not move any asset/liability between levels of the fair value hierarchy during the reporting period.

FAIR VALUE OF FINANCIAL INSTRUMENTS (Contd....)

Fair Value of Financial Assets and Liabilities Carried at Amortised Cost

Bank

Date of Valuation	As at 31st December 2023 (Audited)					As at 31st December 2022 (Audited)				
	Fair Value				Carrying Value Rs 000	Fair Value				Carrying Value Rs 000
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000		Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	
Financial Assets										
Financial assets at amortised cost										
loans & advances	-	756,414,366	-	756,414,366	756,435,559	-	791,005,705	-	791,005,705	811,157,649
debt & other instruments	316,477,987	48,582,784	-	365,060,771	368,100,002	164,475,802	58,100,341	-	222,576,143	278,775,796
	316,477,987	804,997,150	-	1,121,475,137	1,124,535,561	164,475,802	849,106,046	-	1,013,581,848	1,089,933,445
Financial Liabilities										
Financial liabilities at amortised cost										
due to banks	-	11,621,838	-	11,621,838	11,621,838	-	11,297,181	-	11,297,181	11,297,181
due to depositors - fixed & certificate of deposits	-	838,327,706	-	838,327,706	830,478,092	-	735,091,094	-	735,091,094	733,903,165
due to debt securities holders	-	29,764,020	-	29,764,020	26,709,893	-	20,292,758	-	20,292,758	25,259,536
	-	879,713,564	-	879,713,564	868,809,823	-	766,681,033	-	766,681,033	770,459,882

Group

Date of Valuation	As at 31st December 2023 (Audited)					As at 31st December 2022 (Audited)				
	Fair Value				Carrying Value Rs 000	Fair Value				Carrying Value Rs 000
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000		Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	
Financial Assets										
Financial assets at amortised cost										
loans & advances	-	791,028,334	-	791,028,334	787,355,719	-	819,121,483	-	819,121,483	839,976,738
debt & other instruments	322,277,827	48,582,784	-	370,860,611	373,899,842	169,937,668	58,100,341	-	228,038,009	284,237,662
	322,277,827	839,611,118	-	1,161,888,945	1,161,255,561	169,937,668	877,221,824	-	1,047,159,492	1,124,214,400
Financial Liabilities										
Financial liabilities at amortised cost										
due to banks	-	17,337,165	-	17,337,165	17,344,766	-	15,174,226	-	15,174,226	15,255,184
due to depositors - fixed & certificate of deposits	-	861,671,761	-	861,671,761	853,417,035	-	754,033,695	-	754,033,695	753,054,881
due to debt securities holders	-	33,281,286	-	33,281,286	30,386,809	-	27,121,650	-	27,121,650	32,872,261
	-	912,290,212	-	912,290,212	901,148,610	-	796,329,571	-	796,329,571	801,182,326

Treasury bonds acquired in settlement of SLDBs under the Domestic Debt Optimisation Program (DDO) have been classified under level 2 since there is no active market for them.

The following table lists those financial instruments for which their carrying amounts are a reasonable approximation of fair values because, for example, they are short term in nature or re-priced to current market rates frequently.

Assets	Liabilities
Cash & cash equivalents	Securities sold under repurchase agreements
Balances with Central Bank of Sri Lanka	Savings, demand, call & margin deposits
Placements with banks	Due to other borrowers
Reverse repurchase agreements	Dividend payable
Other financial assets	Other financial liabilities

DEBENTURE INFORMATION

(a) Market Values

Debentures - 2019/2024	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2023	2022	2023	2022	2023	2022
Fixed - 13.90%	N/T	100.00	N/T	100.00	N/T	100.00

Debentures - 2021/2028	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2023	2022	2023	2022	2023	2022
Fixed - 9.00%	100.00	N/T	100.00	N/T	100.00	N/T

Debentures - 2023/2028	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2023	2022	2023	2022	2023	2022
Fixed - 28.00%	148.00	N/A	129.09	N/A	129.09	N/A
Floating rate	N/T	N/A	N/T	N/A	N/T	N/A

N/T - Not Traded

N/A - Not Applicable

(b) Interest Rates

Debentures - 2019/2024	2023		2022	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 13.90%	13.90%	13.90%	13.90%	13.90%

Debentures - 2021/2028	2023		2022	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 9.00%	9.00%	9.00%	9.00%	9.00%

Debentures - 2023/2028	2023		2022	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 28.00%	28.00%	28.00%	N/A	N/A
Floating rate	Note 01			

N/A - Not Applicable

Note 01

Debentures - 2023/2028

Floating rate is equivalent to the one year gross treasury bill rate plus 1.5%, subject to a floor of 20.0% & a cap of 31.0% p.a. payable annually.

DEBENTURE INFORMATION (Cont ..)

(c) Interest Rates of Comparable Government Securities

	2023	2022
3 Month Treasury Bill	14.51%	32.64%
6 Month Treasury Bill	14.16%	32.20%
5 Year Treasury Bond	13.75%	26.76%
7 Year Treasury Bond	13.45%	26.01%

(d) Current Yield & Yield to Maturity

Debentures - 2019/2024	Fixed 13.90%	
	2023	2022
Current yield	N/T	13.90%
Yield to maturity of last trade	N/T	13.75%

Debentures - 2021/2028	Fixed 9.00%	
	2023	2022
Current yield	9.00%	N/T
Yield to maturity of last trade	8.97%	N/T

Debentures - 2023/2028	Fixed 28.00%		Floating	
	2023	2022	2023	2022
Current yield	21.69%	N/A	N/T	N/A
Yield to maturity of last trade	17.50%	N/A	N/T	N/A

N/T - Not Traded

N/A - Not Applicable

Note 02

Debentures - 2018/2023

The Bank has redeemed the debentures issued in 2018 amounting to Rs 7.5 Bn on 20th March 2023.

(e) Ratios - Bank

	31.12.2023	31.12.2022
Debt to Equity Ratio (%)	15.6	18.8
Interest Cover (Times)	9.7	6.8
Quick Asset Ratio (%)	71.7	66.5

SELECTED PERFORMANCE INDICATORS (AS PER REGULATORY REPORTING)

Item	As at 31st December 2023	As at 31st December 2022	As at 31st December 2023	As at 31st December 2022
	Bank		Group	
Regulatory Capital (Rs 000)				
Common Equity Tier 1 Capital	118,530,902	95,533,144	128,072,822	102,822,613
Tier 1 Capital	118,530,902	95,533,144	128,072,822	102,822,613
Total Capital	141,853,666	114,351,589	151,849,708	122,096,525
Regulatory Capital Ratios (%)				
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 7.0%)	16.35	11.92	16.67	12.18
Tier 1 Capital Ratio (Minimum Requirement - 8.5%)	16.35	11.92	16.67	12.18
Total Capital Ratio (Minimum Requirement - 12.5%)	19.56	14.27	19.77	14.46
Leverage Ratio % (Minimum Requirement - 3%)	6.39	7.00	6.73	7.29

	As at 31st December 2023	As at 31st December 2022
	Bank	
Assets Quality (Quality of Loan Portfolio)		
Impaired Loans (Stage 3) Ratio %	5.87	4.35
Impairment (Stage 3) to Stage 3 Loans Ratio (%)	57.80	53.84
Profitability		
Interest Margin, %	5.16	5.66
Return on Assets (Before Tax), %	2.12	1.16
Return on Equity (After Tax), %	12.65	10.95
Regulatory Liquidity		
Statutory Liquid Assets (Rs 000)	635,737,884	326,607,580
Statutory Liquid Assets Ratio (Minimum Requirement - 20%)	47.76	27.85
Total Stock of High-Quality Liquid Assets (Rs 000)	566,567,931	226,064,957
Liquidity Coverage Ratio (%) - Rupee (Minimum Requirement: 2023 - 100%, 2022 - 90%)	453.16	200.78
Liquidity Coverage Ratio (%) - All Currency (Minimum Requirement: 2023 - 100%, 2022 - 90%)	312.47	146.53
Net Stable Funding Ratio (%) (Minimum Requirement: 2023 - 100%, 2022 - 90%)	184.20	157.10